CREDIT SCORES

Building "good credit" is a task worth taking seriously since it can affect your ability to do so many important human adult things, like rent an apartment, secure a job, buy a car, apply for a good credit card, or take out a loan of any kind.

But what does it mean to have "good credit," and how is it measured? In a basic sense, your credit score is a numerical measurement (ranging from 300 to 850) of how trustworthy you are—more specifically, how likely you are to make timely payments and repayments. The more you do this well, the higher your credit score becomes. For example, student loans build your credit if you're paying them back on time, because it proves to lenders that you're reliable. Late credit card payments will lower your score.

When I received my first significant chunk of income in 2016, I tackled my credit cards and medical debt first, and then moved on to my two smaller student loans (experts recommend that you begin by paying off your credit card debts since they often have higher interest rates than other types of loans).

I still haven't paid off the bigger student loan because it's a flippin' $24,000. I did, however, take this opportunity to check how much interest I was paying on all my loans for the very first time. (Right now, it's 3.8 percent, which seems to be average for undergraduate loans.) Then I looked at the interest payments that had been accruing on my credit card, which was when I learned that the 0 percent interest rate promised to me when I first ordered that credit card had since run out (it was only a year-long perk and I'd had the card for five years). The interest rate was now 22 percent. In 2018, creditcards.com reported that the average interest rate on a credit card was around 16 percent.

So in 2018, I decided to stop using the credit card I had been using for years and order another. I didn't cancel the first one; I just stopped using it as much. My new card currently has 0 percent interest, and after a year, it will have 14 percent, much lower than on my old card.

With all the sign-up bonuses and perks that are offered to you in those mailings from credit card companies, it can be tempting to open up a lot of new